**Ridgeline Homes**

Strictly private and confidential

# Coastal Ridge Estates Information Memorandum

A$27.0M senior secured construction and development facility, Narangba, Queensland

Prepared by Ridgeline Homes Group Pty Ltd (trading as Ridgeline Homes)

Prepared for prospective senior lenders

Version 1.0, 10 February 2025

Confidential

Reference: RHG-IM-CRE-2025-01

Date: 10 February 2025

*Synthetic - for demonstration. All names, entities and figures are fictional.*
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| | |
|---|---|
| **Borrower** | Coastal Ridge Estates Pty Ltd |
| **ABN** | 46 592 585 810 |
| **Registered office** | Level 6, 200 Adelaide Street, Brisbane QLD 4000 |
| **Sponsor** | Ridgeline Homes Group Pty Ltd (trading as Ridgeline Homes) |
| **Property** | 14.6 hectare site, Narangba, Moreton Bay Regional Council area, QLD |
| **Facility sought** | A$27.0M senior secured construction and development facility |
| **Date** | 10 February 2025 |
| **Financial adviser** | Kestrel Capital Advisory Pty Ltd |

*Transaction details*

# Important notice

This information memorandum has been prepared by Ridgeline Homes Group Pty Ltd (Ridgeline Homes) for prospective lenders to Coastal Ridge Estates Pty Ltd (the Borrower). It summarises the project and the proposed facility and is not an offer or a commitment. Forecasts reflect the sponsor's current assumptions and are not guarantees. Third party reports referred to below have been instructed but, at the date of this memorandum, have not been delivered. Figures drawn from them are the sponsor's estimates until the reports are issued. Recipients should rely on their own enquiries and on the reports addressed to them. All amounts are in Australian dollars and exclude GST unless stated.

# 1. Executive summary

The Borrower is a single-purpose vehicle established by Ridgeline Homes to develop a 140 lot greenfield residential subdivision at Narangba, in south-east Queensland. The site of 14.6 hectares was acquired in August 2023 for A$13.6M. Reconfiguring a lot approval was granted in May 2024 and operational works approval for stages 1 and 2 in November 2024.

The Borrower seeks a A$27.0M senior secured facility over 30 months to refinance the existing A$7.5M land loan and to fund civil construction, statutory infrastructure charges, professional fees, marketing and capitalised interest across all four stages. The facility represents 60.0% of total development cost (TDC) of A$45.0M and 39.4% of gross realisable value (GRV) of A$68.6M.

- 140 lots, average about 450 square metres, average price assumed at A$490,000 per lot.
- Pre-sales of 25 lots (18%), concentrated in stages 1 and 2.
- Sponsor equity of A$12.3M evidenced against A$18.0M required. The balance of A$5.7M is not yet committed and is addressed in section 2.
- Stage 1 settlements forecast about 14 months after financial close.

# 2. The facility request

## 2.1 Indicative terms

| Term | Proposal |
|---|---|
| Type | Senior secured construction and development facility |
| Limit | A$27.0M |
| Tenor | 30 months from financial close |
| Margin | 1M BBSW plus 6.75% per annum |
| Establishment fee | 1.50% (A$405,000) |
| Line fee | 1.00% per annum on undrawn commitment |
| Exit fee | 0.50% (A$135,000 on full limit) |
| Security | First ranking real property mortgage and general security agreement (GSA) |

*Indicative pricing is subject to credit approval*

### 2.2 Sources and uses

| Item | A$M | % of TDC |
|---|---|---|
| Senior facility | 27.0 | 60.0% |
| Sponsor equity evidenced | 12.3 | 27.3% |
| Sponsor equity to be sourced | 5.7 | 12.7% |
| **Total sources** | **45.0** | **100.0%** |

*Sources of funds*

The existing land loan of A$7.5M, which funded the August 2023 purchase alongside A$6.1M of sponsor equity, will be repaid at financial close. After cash held of A$0.4M, net debt is A$7.1M. The A$12.3M of evidenced equity comprises the A$6.1M contributed at settlement and A$6.2M of subsequent contributions, being approval, design and holding costs paid to date and cash on hand.

The equity shortfall of A$5.7M is the principal open item. No source of funds is committed at the date of this memorandum. The sponsor is considering a further Ridgeline Homes contribution, a minority equity partner or a deferral of project management and development fees, and proposes that the balance be contributed in cash before the first construction drawdown.

## 3. Borrower and sponsor

Coastal Ridge Estates Pty Ltd holds the site and nothing else. It has no operating business and no revenue, and repayment depends entirely on lot settlements. Ridgeline Homes is a Queensland residential builder and developer and is the sole sponsor.

| Name | Role |
|---|---|
| Daniel Fairbairn | Director and CEO; managing director of Ridgeline Homes Group Pty Ltd |
| Priya Fennimore | Director and Chief Financial Officer |
| Tom Eastgate | Non-executive Director and Development Director |

*Directors of the Borrower*

Advisers to the project are Mallory Finch Lawyers (borrower legal counsel), Ostler Planning Group Pty Ltd (town planner), Harlow & Pryce Property Valuers Pty Ltd (valuer, instructed), Tindall Cost Consultants Pty Ltd (quantity surveyor, instructed) and Barrett Whyte Chartered Accountants (sponsor auditor).

# 4. The project

## 4.1 Site and approvals

The site is in the Narangba growth corridor of Moreton Bay Regional Council. Lots range from 375 to 600 square metres, with an average of about 450 square metres, which targets first home buyers, downsizers and owner-occupiers seeking detached dwellings. Civil works, stormwater, roads and services will be delivered under a fixed price head contract. The sponsor's preliminary as-is land value indication is A$14.2M, against the purchase price of A$13.6M, subject to the formal valuation.

## 4.2 Staging and sales

| Stage | Lots | Pre-sold | Avg price A$K | GRV A$M |
|---|---|---|---|---|
| 1 | 38 | 17 | 485 | 18.43 |
| 2 | 36 | 8 | 490 | 17.64 |
| 3 | 34 | 0 | 490 | 16.66 |
| 4 | 32 | 0 | 496 | 15.87 |
| **Total** | **140** | **25** | **490** | **68.60** |

*Staging, pre-sales and gross realisable value*

Pre-sales of 25 lots equal 18% of the project. Stage 1 is 45% pre-sold and stage 2 is 22% pre-sold. The sponsor acknowledges that the overall level is below what lenders commonly require to support construction drawdown. Sell-down risk on stages 3 and 4 would sit with the Borrower.

## 4.3 Indicative timeline

| Milestone | Months from close |
|---|---|
| Civil works start, stages 1 and 2 | 1 |
| Stage 1 settlements begin | 14 |
| Stage 2 settlements begin | 18 |
| Stage 3 settlements begin | 22 |
| Stage 4 settlements begin | 26 |
| Facility maturity | 30 |

*Indicative programme. Stage 3 and 4 operational works approvals are yet to be lodged*

# 5. Development budget

| Cost item | A$M |
|---|---|
| Land purchase price | 13.6 |
| Acquisition, approval and holding costs | 1.1 |
| Civil works head contract (fixed price) | 15.6 |
| Construction contingency (4.5% of hard costs) | 0.7 |
| Statutory infrastructure charges | 3.9 |
| Professional fees and project management | 2.5 |
| Marketing and selling costs | 2.1 |
| Finance costs (interest and fees) | 5.5 |
| **Total development cost** | **45.0** |

*Total development cost (ex GST)*

The budget implies a margin of A$23.6M, or 34.4% of GRV and 52.4% on cost. Contingency of 4.5% of hard costs is modest for earthworks and stormwater on a site with variable ground conditions, and the sponsor expects the quantity surveyor to comment on it. The sponsor is prepared to increase contingency if the report recommends it.

# 6. Security and repayment

Security will be a first ranking real property mortgage over the site and a GSA over all assets of the Borrower. Ridgeline Homes will provide a project support and cost overrun undertaking. The sponsor notes that this is not a guarantee backed by substantial independent balance sheet strength, and lenders should assess it accordingly.

The facility will be repaid from lot settlement proceeds, with all net proceeds applied to the facility until it is fully repaid. Repayment of A$27.0M requires about 56 lots at the average price before selling costs, or 40% of the project. Interest will be capitalised during the term.

| Price change | GRV A$M | Facility to GRV |
|---|---|---|
| Base case | 68.6 | 39.4% |
| Down 10% | 61.7 | 43.7% |
| Down 20% | 54.9 | 49.2% |
| Down 30% | 48.0 | 56.2% |

*Sensitivity of facility to GRV at A$27.0M*

# 7. Key risks and mitigants

| Risk | Sponsor response |
|---|---|
| Pre-sales of 18% | Continue stage 1 and 2 campaigns; accept a stage-based pre-sale condition for each release |
| Equity shortfall of A$5.7M | Contribute balance in cash before first construction drawdown |
| Cost escalation, thin contingency | Fixed price head contract; review contingency after QS report |
| Competing lot supply | Price tested by valuer; lot mix weighted to affordable sizes |
| Infrastructure charges, council conditions | Charges budgeted at A$3.9M; town planner to confirm conditions |
| Single asset SPV | Sponsor undertaking; step-in and project management oversight |

*Principal risks*

Lenders should also note that the GRV assumes an average of A$490,000 per lot, and that absorption in the Narangba and wider Moreton Bay corridor may be slower if supply increases.

# 8. Proposed covenants and conditions

**Conditions precedent to first drawdown**

- Satisfactory valuation, QS report and insurance review.
- Evidence of the full A$18.0M equity, with the A$5.7M balance contributed in cash.
- Executed fixed price head contract, with security of payment arrangements.
- Mortgage, GSA and sponsor undertaking executed and registered.
- Stage-based pre-sale condition satisfied for stage 1 construction.

**Ongoing covenants**

- Facility to GRV not exceeding 40% on a rolling basis.
- Monthly progress reporting, with QS certification of each drawdown.
- Minimum net proceeds on lot release, and lot release only on settlement.

- Pre-sale threshold for each of stages 3 and 4 before construction of that stage.

# 9. Next steps

Interested lenders are invited to request the data room and to submit indicative terms. Enquiries should be directed to Kestrel Capital Advisory Pty Ltd or to Priya Fennimore, Chief Financial Officer, at Level 6, 200 Adelaide Street, Brisbane QLD 4000. Site inspection and meetings with the directors can be arranged on request.